# Primo Brands Corp

**Credit Review – May 2026**

**Bansi Patel, CFA**

# Opportunity Overview

## Primo Brands is the leading North American branded water platform with operations spanning Retail, Direct Delivery, Exchange, and Refill channels

- Primo Brands is the largest branded water platform in North America, formed through the November 2024 combination of BlueTriton Brands and Primo Water Corporation
- Operates across Retail, Direct Delivery, Exchange, and Refill channels serving 200,000+ retail locations
- Generated ~$6.7B of revenue and ~$1.41B of Adj. EBITDA in the LTM period (21.1% margin); 12,600+ associates

## Background

- BlueTriton brought the branded spring water portfolio while Primo Water contributed direct delivery and refill infrastructure, and the November 2024 merger created an omni-channel platform that neither business could have built independently

## Investable Opportunity (as of May 16, 2026)

- $3,090M of S+275bps 1L Term Loan B due March 2031, rated Ba3/BB – Trading at 100.85, 6.10% YTW
- $712.8M of 6.250% Senior Notes due April 2029, rated B3/B – Trading at 99.75, 6.34% YTW
- $717.0M of 4.375% Senior Notes due April 2029, rated B3/B – Trading at 97.38, 5.35% YTW
- $500.6M of 3.875% Senior Notes due October 2028 (€441.9M), rated B3/B – 3.92% YTW

**Sources: Company Filings**

# Investment Summary & Recommendation

## Credit Profile

- #1 branded water platform in North America with non-discretionary daily hydration demand and nine consecutive years as the #1 non-alcoholic beverage by volume
- Four-channel distribution model (Retail, Direct Delivery, Exchange, Refill) with recurring annuity revenue characteristics and no single customer concentration
- LTM EBITDA $1.41B (21.1% margin). LTM FCF $325M understates forward run-rate. 2026E Adj. FCF guide ~$800M driven by integration cost roll-off

## Capital Structure

- ~3.4x net leverage LTM with a clear deleveraging path as FCF ramps toward ~$800M in 2026E and integration synergies materialize
- 1L TLB at ~2.0x first lien leverage vs. ~$13.3B TEV. March 2026 refinancing (S+275bps, March 2031, par) eliminates near-term secured maturity risk
- Total liquidity ~$1.04B with undrawn $750M revolver. Maintenance covenant only tested if revolver drawn, removing near-term covenant pressure

**Recommendation: BUY – 1L Term Loan B (Ba3/BB, 6.10% YTW, S+275bps, Price 100.85, March 2031)**

- Non-discretionary recurring demand with nine consecutive years as #1 non-alcoholic beverage. Category durability is not a credit debate
- FCF recovery to ~$800M in 2026E is driven by integration cost roll-off, not EBITDA growth.
- 1L TLB (6.10% YTW, Ba3/BB) offers first lien secured protection at comparable carry vs. unsecured notes. ~2.0x first lien leverage provides substantial enterprise value coverage
- March 2026 refinancing (at par, S+275bps, March 2031) demonstrated lender conviction and removed near-term secured maturity risk. Investment debate is execution, not demand

**Sources: Company Filings**

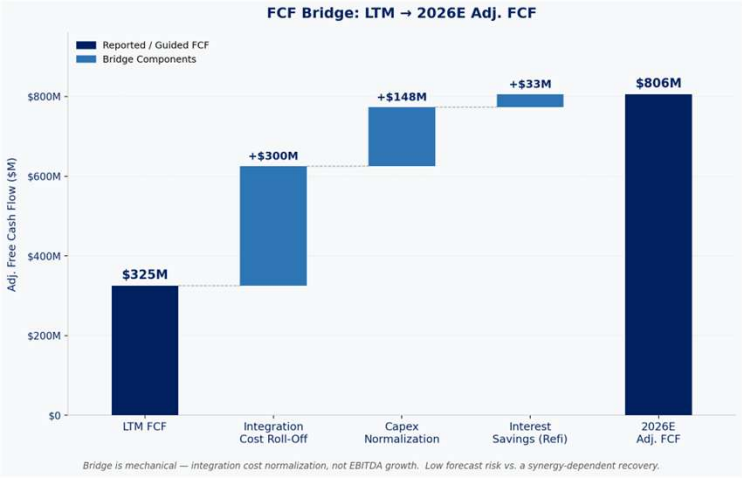
# Credit Thesis

## 1. Non-Discretionary Demand with Recurring Revenue Characteristics

- Bottled water has ranked as the #1 non-alcoholic beverage by volume in the U.S. for nine consecutive years. Demand is tied to daily hydration rather than discretionary spending
- Four-channel distribution model reduces single-format dependence. Direct Delivery generates subscription-like annuity revenue while Exchange and Refill create recurring hardware-supported transactions

## 2. Integration Normalization Drives the FCF Recovery

- LTM FCF of $325M substantially understates forward earnings power. The path to 2026E Adj. FCF of ~$800M is driven by one-time merger cost roll-off, not EBITDA growth, reducing forecast risk vs. a pure synergy-dependent recovery
- Management has identified $200M+ in annual run-rate synergies through route optimization, procurement consolidation, and manufacturing rationalization. Synergy build continues through 2026




Sources: Company Filings

# Credit Thesis (Continued)

### 3. Secured Positioning at Comparable Carry to Unsecured Debt

- 1L TLB (6.10% YTW, Ba3/BB) offers first lien secured protection at comparable or better all-in yield vs. unsecured notes. At ~2.0x first lien leverage against ~$13.3B TEV, a 30% EBITDA haircut at 6.0x stress still generates ~$5.9B TEV, well above the $3.09B secured claim
- Unsecured stack (B3/B, 2028-2029 maturities) faces refinancing execution risk at higher leverage. Taking unsecured risk at similar carry accepts two to three turns of additional subordination without proportionate compensation

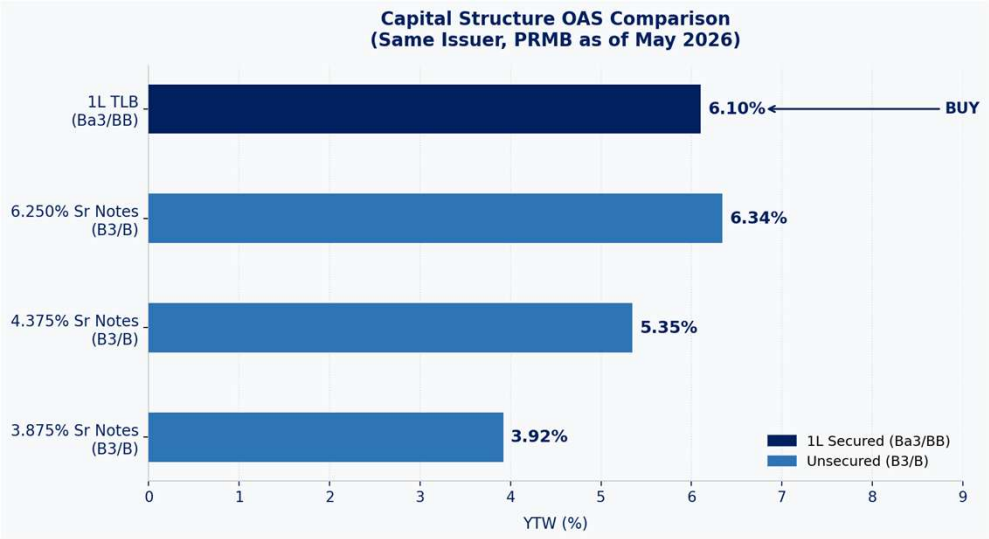
### 4. March 2026 Refinancing Confirms Market Access and Eliminates Near-Term Maturity Risk

- March 2026 fifth amendment extended the TLB to March 2031 at par (S+275bps). Execution of a $3.09B refinancing without a spread concession demonstrates lender conviction and removes secured maturity pressure for five years
- 101 soft-call window expires September 2026. TLB currently trades at 100.85

# Capital Structure Relative Value

## Capital Structure OAS Comparison

- Same issuer, superior seniority, better maturity: the 1L TLB (6.10% YTW, ~250bps OAS) offers first lien secured protection at comparable or better carry vs. the unsecured notes (3.92%-6.34% YTW) with materially stronger downside support in stress
- The carry premium for descending to unsecured (B3/B) is de minimis. Taking unsecured risk at similar carry accepts two to three turns of additional subordination plus 2028-2029 refinancing execution risk without proportionate compensation
- Size and liquidity: At $3.09B outstanding, the TLB offers significantly greater secondary market liquidity than the unsecured notes, facilitating institutional-scale position sizing.




Sources: Company Filings

# Business Description & Overview

## Branded Water is the Primary Offering

- Portfolio spans spring, purified, and premium water brands across every format and price point. Brands include Poland Spring, Pure Life, Arrowhead, Deer Park, Ice Mountain, Ozarka, Zephyrhills, Saratoga, Mountain Valley, Primo Water, and Sparkletts
- Non-discretionary recurring demand tied to daily hydration with revenue diversified across channels, brands, formats, and geographies and no single customer approaching material concentration
- Distributes across four direct-to-consumer channels and 200,000+ retail locations. Direct Delivery generates recurring annuity revenue with high customer retention
- 80+ spring sources, 50+ production facilities, and 200+ distribution depots with a fleet of ~4,800 vehicles and route density as key synergy levers

## Market Position

- #1 market share in U.S. branded water retail for nine consecutive years. Poland Spring and Pure Life are established billion-dollar brands with entrenched regional and national distribution
- Spring water sourced from 80+ proprietary springs across North America. Vertically integrated network creates significant barrier to replication and embedded natural resource advantage

**Sources: Company Filings**

# Business Description & Overview (Continued)

## Distribution Channel Structure

- Retail: sold through 200,000+ grocery, mass, club, convenience, and drug store locations with shelf presence supported by proprietary spring-sourced regional brands and established consumer loyalty
- Direct Delivery: recurring home and office delivery with subscription-like annuity characteristics and high customer retention. Exposed to secular workplace occupancy trends but structurally resilient across residential accounts
- Exchange and Refill: ~26,500 exchange retail locations and 23,500+ self-service refill kiosks with a hardware-embedded recurring model and high-margin per-gallon economics

## Merger Integration and Synergy Realization

- BlueTriton / Primo Water combination closed November 2024. Integration active through 2026 with management targeting $200M+ in annual synergies through procurement, route optimization, and footprint rationalization
- LTM FCF of $325M reflects elevated integration costs. 2026E Adj. FCF guidance of ~$800M is driven primarily by normalization of one-time merger expenses and synergy realization rather than aggressive revenue growth assumptions
- International operations divested 2024-2025. Primo Brands is now a clean, focused North American branded water business with no cross-currency complexity

# Investment Conclusion

- Primo Brands is the largest branded water platform in North America with non-discretionary recurring demand, diversified four-channel distribution, and a vertically integrated spring and bottling network that is operationally expensive to replicate
- LTM FCF of $325M substantially understates forward run-rate. The path to management's 2026E Adj. FCF guide of ~$800M is primarily driven by roll-off of one-time merger integration costs rather than EBITDA growth, reducing forecast risk vs. a pure synergy-dependent recovery
- March 2026 refinancing (S+275bps, March 2031, at par) demonstrated clear lender support, eliminated near-term secured maturity risk, and positions the company for deleveraging from ~3.4x net leverage through 2026-2027
- First lien leverage of ~2.0x against ~$13.3B TEV provides substantial enterprise value coverage across moderate stress scenarios. 1L TLB offers superior recovery protection at comparable carry to unsecured notes
- Total liquidity of ~$1.04B and undrawn $750M revolver eliminate near-term liquidity risk. Maintenance covenant only tested when the revolver is drawn, removing near-term covenant pressure

**Recommendation: BUY – 1L Term Loan B (Ba3/BB, 6.10% YTW, S+275bps, Price 100.85, March 2031)**

- Re-underwrite to PASS if 2026 FCF materially underperforms, net leverage trends back above 4.0x on EBITDA erosion, integration execution deteriorates, or the revolver becomes meaningfully drawn for operating liquidity
- Upgrade conviction at net leverage below 3.5x sustained for two consecutive quarters with 2026E FCF trending toward ~$800M and management formally prioritizing debt reduction over incremental M&A

**Sources: Company Filings**

# Appendix

# Term Sheet Summary

| Credit Facility | $750M RCF + $3,090M 1L Term Loan B + $712.8M 6.250% Sr Notes + $500.6M 3.875% Sr Notes + $717.0M 4.375% Sr Notes |
|---|---|
| **Borrower** | Primo Brands Corporation / Triton Water Holdings, Inc. / Primo Water Holdings Inc. |
| **Guarantors** | Borrower + all material wholly-owned domestic restricted subsidiaries |
| **Issue / Refi Date** | March 31, 2021 (original) / March 31, 2026 (Fifth Amendment Refinancing) |
| **Maturity** | TLB: March 31, 2031 \| RCF: February 28, 2030 \| 6.250% Notes: April 2029 \| 4.375% Notes: April 2029 \| 3.875% Notes: October 2028 |
| **Applicable Margin** | S+275bps (Term Loan) / S+300bps (Revolver) \| 0.50% SOFR floor \| CSA: None |
| **Financial Covenants** | Max 5.0x First Lien Net Leverage (Revolver only, maintenance) \| Min 2.0x Interest Coverage (Revolver only) |
| **Call Protection** | 101 soft call for six months — expires September 30, 2026 |
| **Amortization** | 1% per annum |
| **Corporate Ratings** | B1 (Moody's – Positive Outlook) / BB– (S&P – Stable Outlook) |
| **Secured Ratings** | Ba3 (Moody's) / BB (S&P) |
| **Sponsor** | One Rock Capital Partners (~32% voting interest per shareholder agreement) |

**Sources: Company Filings**

# Ownership & Transaction History

*Nestlé Waters North America → BlueTriton Brands → Primo Brands (PRMB) | 2021–2026*

| Date | Event | Ownership / Sponsor | Transaction Details | Credit / UW Implication |
|---|---|---|---|---|
| **Pre-2021** | Nestlé Waters North America (NWNA) | 100% Nestlé (IG parent) | Poland Spring, Deer Park, Arrowhead, Ice Mountain, Zephyrhills, Pure Life | Conservative IG parent funding profile |
| **Mar 2021** | Sale closes; business renamed BlueTriton Brands | One Rock Capital + Metropoulos (controlling) | $4.3B LBO acquisition from Nestlé | Leverage introduced; standalone capital structure established; leveraged carve-out of IG-owned asset |
| **2021–2024** | BlueTriton standalone operations | One Rock + Metropoulos maintain control | Investments in manufacturing, logistics, route optimization | Stable EBITDA generation; elevated leverage profile maintained |
| **Jun 2024** | BlueTriton + Primo Water all-stock merger announced | BT ~57%; Primo ~43% post-close | ~$200M annual synergies targeted within 3 years | Channel diversification improves; combined leverage remains elevated; integration execution becomes primary credit focus |
| **Nov 2024** | Merger closes; company renamed Primo Brands (PRMB); NYSE listing | One Rock / Metropoulos retain major stake | PRMB begins trading; combined entity formed | FCF ramp and leverage reduction are key underwriting drivers |
| **Mar 2026** | Fifth Amendment refinancing; new $3.09B 1L TLB | Sponsor-influenced; publicly traded structure | Refinanced at par at S+275bps due March 2031 | Eliminated near-term refi risk; reinforced lender confidence; 101 soft call expires September 2026 |

**Sources: Company Filings**

# Investment Risks & Strengths

## Key Strengths

- #1 market share in U.S. branded water retail. Brand equity in Poland Spring and Pure Life is entrenched and difficult to replicate
- Non-discretionary daily hydration demand insulates revenue from economic cyclicality. Nine consecutive years as #1 non-alcoholic beverage by volume
- Four-channel model diversifies revenue. Direct Delivery generates subscription-like recurring annuity cash flows with high retention
- 1L TLB at ~2.0x first lien leverage. March 2026 refinancing at par demonstrates lender conviction and eliminates near-term maturity pressure
- FCF recovery to ~$800M driven by integration cost normalization, not EBITDA growth.
- Total liquidity ~$1.04B with undrawn revolver. Maintenance covenant untested with no near-term covenant pressure
- Vertically integrated spring and bottling network with 80+ spring sources and 50+ production facilities. Operationally expensive to replicate

## Key Risks

- Integration execution risk: $200M+ synergy capture requires sustained management execution across procurement, routes, and manufacturing. Failure to deliver widens the FCF gap
- Sponsor influence: One Rock retains ~32% voting interest. Leverage recapitalization or dividend recap would materially impair deleveraging trajectory
- Direct Delivery secular headwinds: workplace occupancy trends remain structurally challenged post-pandemic, pressuring the B2B component of recurring revenues
- Unsecured maturity wall: B3/B unsecured notes due 2028-2029 face refinancing execution risk at a higher leverage point. Refinancing failure would pressure the capital structure
- Environmental and regulatory risk: spring water sourcing faces long-term licensing and climate-related supply risk. Regulatory scrutiny of plastic packaging is an emerging headwind
- Capex normalization lag: elevated LTM capex of $420M reflects post-merger catch-up investment. If maintenance capex does not normalize toward $272M 2026E, FCF will disappoint

**Sources: Company Filings**

# Re-Rating Triggers

## BUY — Increase Conviction At Any of the Following

- Net leverage sustained below 3.0x for two consecutive quarters confirming clear deleveraging execution
- Integration costs substantially roll off with 2026E Adj. EBITDA delivery at or above $1,490M midpoint, confirming synergy realization
- 2026 Adj. FCF trends toward ~$800M guided run-rate, supporting accelerated debt reduction and reinforcing the deleveraging path
- Management formally prioritizes debt reduction over incremental M&A, shareholder returns, or sponsor-oriented capital allocation
- TLB reprices modestly wider despite stable operating performance, creating incremental spread and carry entry opportunity

## Re-Underwrite to PASS At Any of the Following

- Net leverage trends sustainably above 4.0x on EBITDA underperformance, operational disruption, or incremental debt-funded M&A
- Revolver becomes meaningfully drawn for operating liquidity rather than temporary working capital. Signals cash burn, activates maintenance covenant, and removes the primary liquidity buffer
- 2026E Adj. FCF materially underperforms the ~$800M guidance range, suggesting integration normalization and synergy capture are weaker than modeled
- One Rock pursues a leveraged recap, dividend recapitalization, or debt-funded acquisition that materially increases leverage ahead of the unsecured maturity wall
- Retail spring water volumes deteriorate materially, indicating fundamental category erosion rather than integration-related disruption